

Matching Cost

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Assumption. Each visit requires $p \in (0,1)$ services

Service purchased

- consumed. C
(deliver utility)
- used for matching & conduct visits

Service consumed $<$ services purchased

Why do we introduce a cost of visits?

A Realism: It is in general costly for customers to find an appropriate supplier.

- Customers hire middlemen for visits & to find suppliers (real estate agent, staffing services, brokers, travel agents)
- Cost of visits in terms of time & effort
- Cost of visit can also be a service purchased as a trial which does not deliver utility $\rightarrow$ bad hair cut, bad meal, bad coffee...

B Theoretical symmetry.

Sellers have to spend their day in the shop waiting for customers $\rightarrow$

- Selling services is costly to sellers: it requires to commit services. Through the cost p , visits are costly to buyers. So on both sides of the market, finding a trading partner

is costly $\rightarrow$ symmetry. (The costs do not have to be the same $\rightarrow$ will use evidence to calibrate costs)

- Sellers are always happy to sell a service: they derive a surplus from the sale. With a visit cost, buyers are also always happy to buy a service: they also derive a surplus. So both sides derive a surplus from trade.
symmetry & realism -

- In the welfare analysis, we will obtain an interior efficient allocation b/c slack & tightness generate a cost on both sides of the market. Without the visit cost, we would obtain a boundary efficient allocation. This is a special case here too, but not the general case (Interior solutions are preferable - more satisfying)

Why do we measure the visit cost in terms of services?

A. Tractability: No need to introduce an additional good.

B. Portability: Can apply the same modelling strategy if the buyer is a firm (of intermediate goods) or the government

C. Symmetry: On the labor market, the cost of recruiting is a labor cost. Here the cost of buying services is a service cost